

Investment Evaluation Report: Augmented Reality EdTech Startup

1. Stage Identification and SWOT Analysis

Among the five stages of the company life cycle, the given education technology company lies in the **early/seed stage**, closely resembling the ideation stage discussed in the reference document. At this stage, a problem has been identified and a technological solution has been developed, but it has not yet been fully commercialized.

The augmented reality application addresses a key issue faced by biology students—the difficulty in visualizing internal human body processes. By enabling real-time visualization of systems such as the circulatory system, the application enhances conceptual understanding. As observed in the pilot testing, the product has already demonstrated a **40% improvement in student performance**, indicating strong potential. However, the absence of market traction and product-market fit suggests that the company is still in its early development phase and requires further validation.

SWOT Matrix

Strengths:

The application enhances knowledge retention and provides an interactive learning experience. It creates a more engaging and immersive learning cycle for students, supported by strong pilot results.

Weaknesses:

The product is dependent on smartphone availability and may not be suitable for all institutions. As noted in the reference (page 1), prolonged exposure to AR environments may also lead to cognitive overload .

Opportunities:

The product aligns well with the tech-savvy Gen Z demographic and can be expanded into other subjects and training domains.

Threats:

Adoption barriers in traditional institutions, high maintenance costs, and potential data/privacy risks may hinder growth, as also highlighted in the sample report .

2. Challenges and Solutions

The primary challenge faced by the augmented reality EdTech application is **value communication**, along with several operational and technological constraints. As highlighted in the reference document, AR technology, despite its innovation, comes with practical limitations that must be addressed for successful commercialization.

One of the major challenges is **hardware dependence**. The application requires smartphones with AR capabilities, which restricts its accessibility to students from middle and upper-tier institutions. Additionally, variations in device quality can lead to inconsistent user experiences. As discussed in the sample (page 2), even applications like Pokémon Go faced similar challenges due to device dependency . To overcome this, the company can collaborate with schools that provide digital devices or introduce a feature where teachers can project AR simulations for the entire class, ensuring uniform learning.

Another key issue is **battery consumption**. Continuous use of camera and AR features drains device battery quickly, reducing usability. A practical solution would be to allow adjustable resolution settings, enabling users to balance performance and battery life.

Privacy concerns also pose a significant barrier. Since the application involves pointing cameras at individuals, users may feel uncomfortable about data usage. The reference suggests implementing strict data policies where no information is stored unless explicitly required . The company should adopt transparent privacy policies and notify users in case of any data recording.

The most critical challenge, however, is **revenue generation and value communication**. Despite its effectiveness, the product may struggle to convince institutions to invest due to its relatively high cost. Similar to successful EdTech firms, the company must position itself as an **outcome-driven solution** rather than just a technological innovation. Demonstrating improved academic performance through data and case studies will help build credibility.

A viable approach would be adopting a **B2B2C model**, where schools act as primary customers while students benefit from the product. Additionally, offering institutional discounts and subscription-based pricing can make the product more accessible. As suggested in the reference (page 3), charging institutions directly rather than relying on ad-based revenue may be more sustainable .

3. Investment Milestones and Convertible Note Structure

Given that the company is in its early stage, a **convertible note** is an appropriate investment instrument, as it delays valuation while allowing the business to grow and achieve key milestones. This aligns with the reasoning provided in the reference document (page 3), where convertible notes are used to protect investor interests while supporting early-stage growth .

For an investment of **₹50,00,000**, the following milestones can be established:

Milestone 1: Initial Commercial Validation

The company should achieve at least 5–10 institutional tie-ups with a minimum of 100 students per institution. This stage tests the product's acceptance in real market conditions.

Milestone 2: Market Expansion

The company should expand to at least 20–30 institutions while maintaining consistent usage levels. This reflects growing demand and early product-market fit.

Milestone 3: Growth and Retention

At this stage, the company should demonstrate increased student retention and repeat usage, along with expansion into new institutions.

Milestone 4: Scale and Diversification

The company should broaden its reach across institutions and potentially expand its offerings to other subjects.

Conversion Terms (Aligned with Performance):

- Slow growth (only milestone 1 achieved): Higher conversion (~20–24%)
- Moderate growth (milestone 2): ~15–18%
- Strong growth (milestone 3): ~10–12%
- High growth (milestone 4 achieved): ~6–9%

This performance-linked structure ensures that investor risk is minimized while incentivizing the company to achieve scalable growth.

4. Customer Lifetime Value (CLV) and Customer Acquisition Cost (CAC)

The **Customer Acquisition Cost (CAC)** for the application is estimated at ₹1,500 per student, based on marketing and institutional outreach expenses, which is consistent with the sample analysis (page 5) .

The pricing model assumes a subscription fee of ₹600 per student per year. Therefore, the **Customer Lifetime Value (CLV)** depends on how long a student continues using the application.

- Year 1: CLV = ₹600 → Loss (CAC > CLV)
- Year 2: CLV = ₹1,200 → Still recovering cost
- Year 3: CLV = ₹1,800 → Profit begins

As shown in the table on page 6 of the reference document, the company starts generating profits only after the **third year of customer retention** .

This implies that the business must ensure a **minimum retention period of 3 years** to achieve profitability per customer. To achieve this, the company should expand content across multiple grades and integrate deeply with school curriculums, ensuring continued usage.
